

ECONOMICS: MOST EXPECTED QUESTIONS

Analysis of 2023, 2024, and 2025 Marking Schemes

EXAM INSIGHT: Two specific questions have appeared almost verbatim for the last 3 years. These are must-prepare topics.

1. THE "GUARANTEED" THEORY QUESTION

Distinguish between Autonomous and Accommodating Transactions (BoP)

- **Autonomous Transactions:** International economic transactions undertaken independently of the state of BoP, usually for profit ("Economic Motive"). Known as **"Above the Line"** items.
- **Accommodating Transactions:** Undertaken specifically by authorities (like Central Banks) to cover surplus/deficit in BoP. Independent of economic motives. Known as **"Below the Line"** items.

2. MANDATORY DATA ANALYSIS (4 MARKS)

Comparative Analysis: India vs. China vs. Pakistan

Expect a table showing Demographic or Sectoral growth. **Preparation Strategy:** Practice summarizing China's demographic transition (One Child Policy impact) compared to Pakistan's high growth rate, and the shift of the workforce from Agriculture to Services in India.

3. ESSENTIAL NUMERICALS

Real vs. Nominal GDP Percentage Change

$$\% \text{ Change} = [(\text{Change in Real GDP}) / (\text{Base Year Real GDP})] \times 100$$

Equilibrium Level of Income (C + I Approach)

Given Consumption ($C = a + bY$) and Investment (I), solve for Y :

$$Y = C + I$$

4. CONCEPTUAL APPLICATION: EXCESS DEMAND

What happens when ex-ante $AD >$ ex-ante AS ?

This leads to an **unintended fall in inventories**. Consequently, producers **expand production**, leading to an increase in the levels of **output, employment, and income** until equilibrium is restored.

Economics Most Expected Question By Thunderstudy